

# xAI

The largest GPU cluster in the world attached to the smallest revenue of any frontier lab... · [x.ai](#)

2023

Founded

~\$500M

ARR

~\$42B

Capital raised

555,000

GPUs at Colossus

~\$250B

Merger valuation

## 01 Overview

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| <p>Raised \$20B in January 2026 at a \$230B valuation, then merged into SpaceX a month later at roughly \$250B. Colossus grew from 100,000 GPUs at its October 2024 launch to 555,000, with the two Memphis...</p> <p><b>Offering:</b> The Grok model family, sold through SuperGrok consumer subscriptions via the X app, API access and enterprise deals, with Grok Voice available in Tesla vehicles.</p> | <p><b>Key facts</b></p> <p><b>HQ:</b> Bay Area, California; Colossus supercomputers in Memphis, Tennessee</p> <p><b>Ownership:</b> Wholly-owned subsidiary of SpaceX following an all-stock acquisition completed 2 February 2026 that valued xAI at roughly \$250B and the combined entity at about \$1.25 trillion. SpaceX subsequently listed on Nasdaq in June 2026</p> <p><b>Revenue:</b> Approximately \$500M annualised recurring revenue in early 2026, up from roughly \$350M of revenue in 2025, against a reported burn close to \$1B per month. A full-year 2026 target of around \$2B has been reported</p> <p><b>Web:</b> <a href="#">x.ai</a> · <a href="#">LinkedIn</a></p> <p><b>Key people:</b> Elon Musk (Founder)</p> <p><b>Digital twin:</b> No · <b>GenAI:</b> Yes (Grok)</p> |
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## 02 Use Cases & Reported Metrics

| Sector              | Deployment                                                                                                                                  | Reported impact                                                                              | Source               |
|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|----------------------|
| AI infrastructure   | The Colossus I and II supercomputers in Memphis — described as the world's first gigawatt-scale AI training cluster and reportedly built... | 555,000 GPUs and roughly \$18B of GPU investment, drawing 2 gigawatts;                       | <a href="#">Link</a> |
| Corporate structure | All-stock merger into SpaceX completed 2 February 2026, valuing xAI at roughly \$250B and creating a combined entity worth about \$1.25...  | Grok is now a product line inside a publicly traded rocket company, backstopped by SpaceX... | <a href="#">Link</a> |

## 03 Competitive Landscape

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| <p><b>Other vendors in this market:</b> Amazon Web Services · Anthropic · Google · Meta · Microsoft · NVIDIA · OpenAI · Perplexity</p> <p><b>Where it sits:</b> xAI is the clearest example in this app of infrastructure scale running far ahead of commercial traction: roughly \$500M of ARR against approximately \$42B raised and a reported \$1B monthly burn, with a GPU estate that makes it one of NVIDIA's largest single...</p> |
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## 04 GIP & BlackRock Connections

| GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted. |                                                                                                                                     |
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| Entity                                                                                                                                                                                                                       | Possible connection                                                                                                                 |
| Global Infrastructure Partners                                                                                                                                                                                               | No publicly disclosed GIP relationship. Relevance to the portfolio is as a compute and power demand driver rather than as a vendor  |
| BlackRock                                                                                                                                                                                                                    | One third-party tracker lists BlackRock among xAI's investor roster alongside Andreessen Horowitz, Sequoia, Fidelity, NVIDIA and... |

## 05 Sentiment

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| <p><b>Customer:</b> Commercial traction is far behind its peers. At roughly \$500M of ARR, xAI sits against Anthropic's \$47B and OpenAI's \$25B, and Grok's share of AI chatbot web traffic is around 2.8%, fifth behind...</p>                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <p><b>What supports the story</b></p> <ul style="list-style-type: none"><li>Colossus is a genuine engineering achievement — the first gigawatt-scale AI training cluster, reportedly built in 122 days</li><li>Backstopped by SpaceX capital and compute after the February 2026 merger, removing near-term funding risk</li><li>Distribution through X reaches roughly 600 million monthly active users without separate customer acquisition</li></ul> | <p><b>What to pressure-test</b></p> <ul style="list-style-type: none"><li>Roughly \$500M of ARR against approximately \$42B raised and a reported \$1B monthly burn — the widest gap between capital and revenue of any vendor tracked here</li><li>All eleven original co-founders departed by March 2026, leaving Musk as the sole remaining founding figure</li><li>Serious regulatory and legal exposure: a California Attorney General investigation and cease-and-desist over alleged Grok-generated non-consensual explicit imagery and potential child sexual abuse material, with parallel scrutiny in Europe and Asia, national bans in Indonesia and Malaysia, and a class-action lawsuit</li></ul> |

**Employee:** Not covered in this pass — headcount is not disclosed and no employer-review data was gathered.

Sources: xAI public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked "est." or "not disclosed" are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.